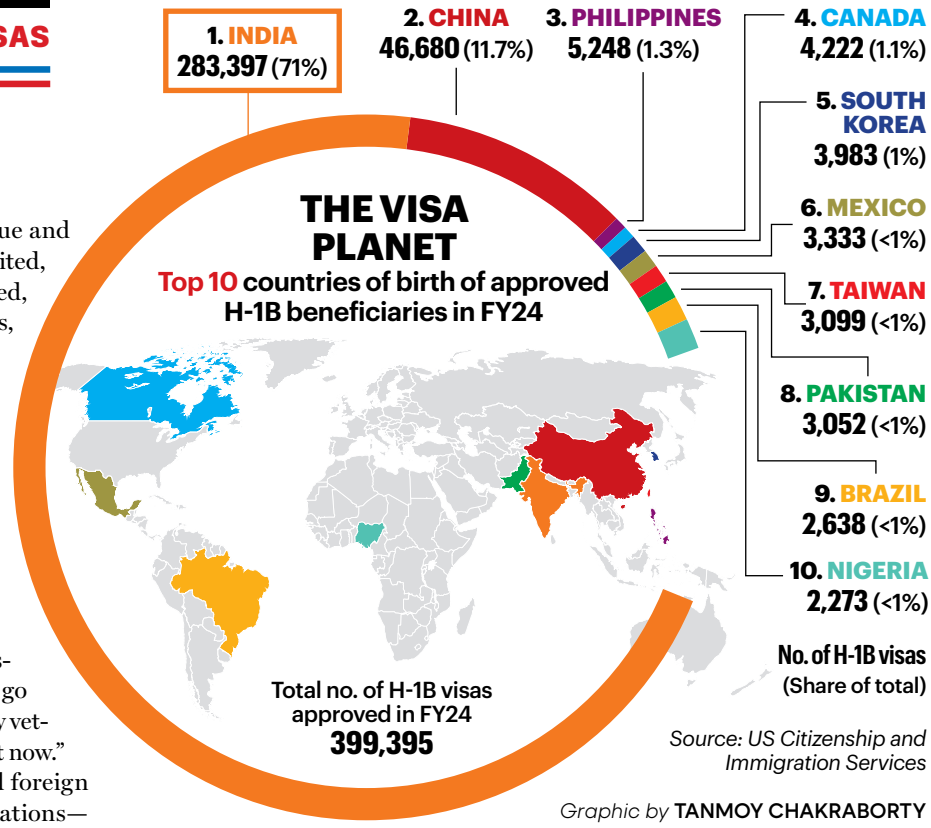


Source: US Citizenship and Immigration Services

Graphic by **TANMOY CHAKRABORTY**

The near-term impact on revenue and margins of IT firms could be limited, she reckons. "However, if sustained, it could disturb Indian IT exports, companies' traditional models, pressurise project margins and disrupt Indian IT supply chains and onsite projects."

A CAREER PATHWAY

For the Indian techie, the H-1B has long been a coveted route to success. "People joined the industry, worked for a few years, tried to get an H-1B assignment and a green card, and go long in the US," says an IT industry veteran. "That aspiration stands hurt now."

The H-1B visa allows skilled foreign professionals in specialty occupations—from technology to medicine to education—to work in the US on short-term contracts for an initial period of three years, extendable by another three years. In FY24, Indian-origin professionals accounted for 71 per cent of the 399,395 H-1B visas approved. Typically, computer-related jobs form the largest share of H-1B visas, as both Indian firms and multinational ones rely on it to deploy employees in the US on projects that complement their offshoring model.

The anxiety among new visa applicants, therefore, is palpable. A US-based software engineer, whose H-1B visa application was picked in a lottery in May and is under process, says he was fortunate to beat the September 21 cut-off. But some of his colleagues whose applications didn't get picked this year will have to wait to reapply in the next cycle, when the fee hike will apply. "Everyone was shocked when the news came," says the techie. "The first thing is, the employer has to sponsor that much amount for them. Even with the old fee, many companies were rejecting applications since they had to sponsor them." They had all got jobs in IT firms this year after completing a two-year master's degree and are currently on a work authorisation permit called optional practical training or OPT, which is linked to the F-1 student visa. Their hope now is that the new fee regulation will be struck down in court.

> **"Offshoring will increase because of the visa restrictions. So, overall, it will be positive...Whether this [H-1B restriction] is the first step or there will be a series of steps is what we have to watch for"**
>
> **V. BALAKRISHNAN**
> *Former board member, Infosys*

The US argument for the clampdown is that unemployment among its computer science and engineering graduates, at 6.1 per cent and 7.5 per cent, respectively, is more than double the rates for biology or art history majors. Meanwhile, the share of IT workers with H-1B visas has risen to over 65 per cent from 32 per cent in FY2003. "Information technology firms in particular have prominently manipulated the H-1B system, significantly harming American workers in computer-related fields," said the US proclamation. "In addition, some of the most prolific H-1B employers are now consistently IT outsourcing companies. Using these H-1B-reliant IT outsourcing companies provides significant savings for employers: one study of tech workers showed a 36 per cent discount for H-1B 'entry-level' positions as compared to full-time, traditional workers. To take advantage of artificially low labour costs incentivized by the program, companies close their IT divisions, fire their American staff, and outsource IT jobs to lower-paid foreign workers."

According to the US Citizenship and Immigration Services (USCIS), further steps that will be taken to reform the H-1B programme include making rules 'to revise and raise the prevailing wage levels' to ensure it is used to hire 'only the best of the best temporary foreign workers'.

The Indian industry has often countered as a misconception the claim that low-paid foreign IT workers are displacing American jobs. As proof, industry watchers point to existing USCIS rules that require employers to pay H-1B visa-holders wages